

Zero to One — Mastery Quiz

Author: Peter Thiel • 12 multiple-choice questions • Answer + explanation

Instructions: Choose the best answer before checking the answer and explanation.

1. What does 'zero to one' mean?

- A. Copying a competitor
- B. Creating something genuinely new
- C. Scaling an existing process only
- D. Reducing prices

Correct answer: B

Why: Zero to one represents creation rather than replication.

2. Why does Thiel favor monopoly over competition?

- A. Monopoly always means government control
- B. A differentiated business can capture more value and avoid destructive competition
- C. Competition is illegal
- D. Monopoly eliminates innovation

Correct answer: B

Why: The argument is that durable differentiation is better than endless commodity competition.

3. What is a 'secret' in the startup context?

- A. A password
- B. An important truth that few people recognize
- C. A legal document
- D. A marketing slogan

Correct answer: B

Why: A valuable secret can become the foundation of a differentiated company.

4. Why start with a small market?

- A. To avoid customers
- B. To become dominant in a focused niche
- C. To eliminate product quality
- D. To prevent growth

Correct answer: B

Why: A small beachhead can be dominated before expansion.

5. Which can create a defensible moat?

- A. Proprietary technology
- B. Constant price cutting
- C. Copying competitors
- D. No customer loyalty

Correct answer: A

Why: Technology is one possible source of durable competitive advantage.

6. Why is distribution important?

- A. Products sell themselves automatically
- B. A product needs a reliable path to customers
- C. It replaces product quality
- D. It is unrelated to startups

Correct answer: B

Why: Distribution determines whether customers can actually discover and buy the product.

7. What is the 1-to-n direction?

- A. Creating something new
- B. Replicating or scaling something that already exists
- C. Discovering a secret
- D. Building a monopoly immediately

Correct answer: B

Why: 1→n describes copying, scaling and expansion from an existing model.

8. What should founders search for?

- A. A crowded market with no differentiation
- B. A unique opportunity and a defensible advantage
- C. The largest possible market immediately
- D. The lowest possible quality

Correct answer: B

Why: The book emphasizes finding a differentiated opportunity with durable value.

9. What is a common mistake in startup thinking?

- A. Searching for secrets
- B. Assuming the future will simply repeat the past
- C. Building a moat
- D. Starting focused

Correct answer: B

Why: Thiel argues that valuable innovation requires thinking beyond conventional extrapolation.

10. What is the 'beachhead' idea?

- A. Win a narrow market first, then expand
- B. Launch everywhere simultaneously
- C. Avoid customers
- D. Focus only on branding

Correct answer: A

Why: A focused initial market can provide dominance and a base for expansion.

11. What makes a business difficult to copy?

- A. A defensible advantage
- B. Generic features
- C. No customers
- D. Price matching

Correct answer: A

Why: Durable advantages make the company's position harder to attack.

12. What is the central entrepreneurial question?

- A. How can we copy more?
- B. What valuable thing can we create that others have missed?
- C. How can we compete on price forever?
- D. How can we avoid distribution?

Correct answer: B

Why: The book is fundamentally about creating unique value and capturing it through a defensible company.

Scoring guide: 10–12 = strong mastery • 7–9 = good understanding • 4–6 = review the summary • 0–3 = reread the core concepts.